

The principle behind such option grants is to align the interests of managers with outside investors. If you are an outside Apple shareholder, you want its managers to be rewarded only if Apple's stock earns superior returns. Nothing else could possibly be fair to you and the other owners of the company. But, as John Bogle, former chairman of the Vanguard funds, points out, nearly all managers *sell* the stock they receive immediately after exercising their options. How could dumping millions of shares for an instant profit possibly align their interests with those of the company's loyal long-term shareholders?

In Jobs' case, if Apple stock rises by just 5% annually through the beginning of 2010, he will be able to cash in his options for \$548.3 million. In other words, even if Apple's stock earns no better than half the long-term average return of the overall stock market, Jobs will land a half-a-billion dollar windfall.²² Does that align his interests with those of Apple's shareholders—or malign the trust that Apple's shareholders have placed in the board of directors?

Reading proxy statements vigilantly, the intelligent owner will vote against any executive compensation plan that uses option grants to turn more than 3% of the company's shares outstanding over to the managers. And you should veto any plan that does not make option grants contingent on a fair and enduring measure of superior results—say, outperforming the average stock in the same industry for a period of at least five years. No CEO ever deserves to make himself rich if he has produced poor results for you.

A Final Thought

Let's go back to Graham's suggestion that every company's independent board members should have to report to the shareholders in writing on whether the business is properly managed on behalf of its true owners. What if the independent directors also had to justify the company's policies on dividends and share repurchases? What if they had to describe exactly how they determined that the company's senior management was not overpaid? And what if every investor became an intelligent owner and actually read that report?